

STRATHMORE EDUCATIONAL TRUST STAFF PROVIDENT FUND

Minutes of the Trustees' Meeting Held on Monday 02 February 2026 at Strathmore University from 10:00 am.

Present:	
Dr, Freshia Mugo	Sponsor Appointed Trustee (Chairperson)
Mr. Simon Munyui	Sponsor Appointed Trustee (Vice Chairperson)
Mr. Caleb K Chebon	Sponsor Appointed Trustee
Mr. Lawrence Nganga	Member Elected Trustee
Mr. Timothy Mutai	Member Elected Trustee
Ms. Naomi- May Mwangi	Member Elected Trustee
Mr, Raphael Karanja	Member Elected Trustee
Absent with Apologies:	
Mr. Stephen Odhiambo	Trust Secretary
By Invitation:	
Ms. Mercy Muchugu	Liaison Officer
Ms. Shirlyne Kavutha	Zamara Actuaries, Administrators & Consultants Limited
Mr. John Kariuki	Zamara Actuaries, Administrators & Consultants Limited
Mr. Andrew Nthale	Zamara Actuaries, Administrators & Consultants Limited
Mr. Lewis Rapando	Zamara Actuaries, Administrators & Consultants Limited
Mr. David Kyalo	Old Mutual Investment Group
Mr. Nicholas Musyoki	Stanbic Bank Ltd
Mr. Jason Makali	Jubilee Insurance Company Ltd
Ms. Shirleen Lembi	Kenindia Assurance Company Limited

1. (Min 01/26) Open Meeting

1.1 Present and Apologies

The Chairperson called the meeting to order at 10.05 and all trustees were noted to be present and therefore quorate for the meeting to proceed.

1.2 Adoption of Agenda

The agenda for the meeting was adopted by the Trustees in the form presented.

1.3 Declaration of Interest

In line with the Good Governance Guidelines, all Trustees and service providers present declared that they were not conflicted in any of the matters tabled for deliberation.

1.4 Board of Trustees

The Fund's Board of Trustees was constituted as follows: -

Sponsor Appointed	Member Elected
Dr. Freshia Mugo Waweru	Mr. Lawrence Nganga
Mr. Simon Munyui	Ms. Naomi Mwangi
Mr. Caleb K. Chebon	Mr. Raphael Karanja
	Mr. Timothy Mutai

2. (Min 02/26) Confirmation and adoption of the Minutes of the Trustees' Meeting held on 28 July 2025.

The minutes of the Trustees' meeting held on 27 October 2025 were adopted as a true record of proceedings as proposed and seconded by Trustees Naomi May-Mwangi and Timothy Muttai respectively and would be signed as such by the Chairperson.

3. (Min 03/26) Matters Arising from Minutes of the Trustees' Meeting held on 27 October 2025

3.1. (Min 12.23) Trustee Induction & Strategy Formulation

It was reported that the document had been reviewed and final comments submitted to the consultant for incorporation. The Strategic plan was noted to be scheduled for launch in March 2026

3.2 (Min 23/24) Fund Compliance Matrix – Good Governance Policies

It was reported that the signing of the policies was still on-going. These would be finalized and shared to the Administrator for filing.

4. (Min 04/26) Scheme Investments.

4.1 Jubilee Life Guaranteed Fund Report as at 31 December 2025

Mr. J. Makali of Jubilee Insurance presented the guaranteed fund report for the quarter ended 31 December 2025 and highlighted the pooled fund allocation as follows:

Asset Category	30 September 2025	31 December. 2025	Amount as at Sep 2025	RBA Limit
Government Securities	87.35%	86.21	371,881,837.00	90%
Property	1.18%	1.12%	4,841,746,.02	30%
Fixed & call deposits	1.03%	1.85%	7,980,054.09	30%
Quoted Shares	5.45%	5.87%	25,322,819.88	70%
Private Equity/Unquoted Shares	5.00%	4.94%	21,327,817.89	10%
Total	100.00%	100.00%	431,354,274.88	

The fund value as at 31 December 2025 was noted as follows:

	30 September 2025 Amount (Ksh)	31 December 2025 Amount (Ksh)
Opening Balance	422,909,478.04	427,111,034.59
Interim interest at 4%	4,201,556.55	4,243, 240
Closing Balance	427,111,034.59	431,354,275

It was noted that the total income at the guaranteed rate of return of 4% was Ksh 16,590,549

The Trustees deliberated on the report and adopted the report as presented.

4.2. Kenindia Assurance Guaranteed Fund Report 31 December 2025

Ms. S. Lembi of Kenindia Assurance presented the guaranteed fund report for the quarter ended 31 December 2025 and highlighted the pooled fund allocation as follows:

Scheme Fund Asset Allocation			
Asset Class	31 December 2025	Allocation	RBA Limit
Government Securities	80.00%	344,562,924.16	90/00
FD'S & Money markets	3.55%	15,289,979.76	30
Quoted Equity Investment	9.24%	39,797,017.74	70
Corporate Bonds	1.89%	8,140,299.08	15
Properties	5.32%	22,913,434.46	15
TOTAL	100.00%	430,703,655.20	100%

The Fund position as at 31 December 2025 was noted as follows:

	Fund as at 1/04/2025 – 30/09/2025	Fund as at 1/07/2025 – 31/12/2025
Opening Balance	341,455,937.61	341,455,937.61
Contributions and Transfer in	74,000,000.00	74,000,000.00
Guaranteed Rate (4%)	11,059,010,.95	15,247,717,.59
Pay outs	0.00	0.00
Closing Balance	426,514,948.56	430,703,655.20

It was noted that the asset allocation was well within RBA recommended limits with heavy allocation in government securities that had rendered significant stable and consistent investment income growth.

The Strategy for the next quarter was noted as follows:

Government Securities – The Approved was strategically reducing exposure to short term T-Bills in response to the downward interest rate trajectory and reallocating the capital towards higher yielding infrastructure bonds and selectively re-opened longer dated maturities to lock in attractive yields.

Call Fixed Deposits – To maintain the allocation to call and fixed deposits in line with the Fund's liquidity requirements while actively optimizing placement to capture the most competitive rates in the market.

Domestic Equities – The approved issuer would maintain the current exposure to equities as it was expected that the improved equity performance would continue in to Quarter 1 2026 given a reduction in Central Bank Rates (CBR) rates and its effect on general direction of interest rates.

The Trustees deliberated on the report shared and all questions were responded satisfactorily and thereafter the report was adopted as presented.

4.3. Investment Report for the Period Ended 31 December 2025

Mr. D. Kyalo of Old Mutual Investments Group presented the investment report for the period ending 31 December 2025 including an economic review and their outlook of the domestic and global investment markets. He outlined the following key market highlights:

A summary of the portfolio movement over the quarter was noted as follows: -

Portfolio Movement	Amount (KES) as at 31 December 2025 (Mark to Market)	Amount (KES) as at 31 December 2025 (Hold to Maturity)
Opening Market Value	1,953.87	1,848.68
Contributions	73.80	73.80
Withdrawals/ Payments	(11.95)	(11.95)
Fees & Expenses	(5.49)	(5.49)
Investment income	44.28	44.28
Market Revaluation (Equities)	26.63	26.63
Market Revaluation (Offshore)	(1.82)	(1.82)
Market Revaluation (fixed Income)	(19.50)	(19.50)
Investment Growth	49.59	74.27
Closing Market Value	2, 059.82	1,979.31

The Scheme's assets were distributed as follows: -

Asset Class	Mark to Market Value as at 31 December 2025 (KES)	Hold to Maturity Value as at 31 December 2025 (KES)
Cash & Demand Deposits	66,462,657	66,462,657
Fixed Deposits	77,326,664	77,326,664
Corporate bonds & Commercial Paper	907,010	907,010
Treasury Bills	-	-
Treasury Bonds	1,442,764,442	1,362,254,762
Equities	335,176,867	335,176,867
Offshore	94,800,618	94,800,618
Offshore Fixed Income (Eurobond + ESATF)	42,377,696	42,377,696
Total	2,059,815,953	1,979,306,273

Trustees noted the overall performance of the portfolio versus the weighted benchmark over the quarter, the 1, and 3-year periods as follows:

	31 December 2025	1 Year	3 Years (Annualised)
Performance (Mark-to-Market)	2.5%	24.3%	18.4%
Performance (Amortised)	4.0%	20.2%	15.7%
Benchmark	1.7%	7.5%	24.0%

The Manager's strategy for the following quarter was outlined as follows:

- **Government Securities** – The Manager would increase exposure and continue to lock in higher coupons over the quarter. High coupon securities would be considered in order to increase the average yield of the fixed income portfolio.
- **Fixed Deposits & Call Deposits** – The Fund Manager would maintain adequate levels for the portfolio's liquidity purposes.
- **Domestic Equities** – The fund manager would build this portfolio to target weights to take advantage of the positive sentiment and the anticipated increase in dividend payout by

banks. given the significant market rally. There is anticipation to take profits on certain counters where the valuations are above target levels, however they shall maintain overall allocation to equities through new purchases.

- **Corporate Bonds-** The Fund manager would buy on suitability and consider opportunities that meet fund's risk and return threshold.
- **Offshore Equities Strategy** - The fund manager would increase exposure while monitoring key global markets with a view to allocate in regions offering superior risk adjusted returns.
- The Strategy on **offshore Fixed Income** was noted to be suitability buy on funds that provided adequate return and diversification compared to local and sovereign options.
- **Alternative Assets** – Fund manager would increase exposure as they sought opportunities that met the investment policy strategy and return requirements of the Fund.

The Trustees deliberated on the report shared and all questions were responded satisfactorily and thereafter the report was adopted as presented.

5. (Min 05/26) Custody Report

5.1 Custody Report for the Period Ended 31 December 2025

Mr. N Musyoki of Stanbic Bank presented the Custody report for the quarter ended 31 December 2025 and it was noted that the assets held under custody were valued at **Ksh. 2,059,605,862.19**.

The Trustees noted the reconciliation between assets under custody and those under management as follows:

Asset	Value under Custody (Ksh)	Value under Management (Ksh)	Variance (Ksh)
Government Securities	1,442,764,723.24	1,442,764,443.04	280
Ordinary Shares	335,176,866.80	335,176,866.80	-
Corporate Bonds & CP's	906.821.51	907,009.85	-188.34
Offshore	108,691,668.81	94,800,618.28	13,891,050.53
CIS (OMMF)	60,093,107.30	60,093,107.30	-
Fixed Deposits	74,112,706.84	74,112,706.84	3-
Call	5,067,534.25	5,067,534.25	-
Cash	1,302,862.29	1,302,014.19	848.10
Others	31,489,563.41	0.00	31,489,563.41
Total	2,059,605,862.19	2,014,224,300.55	45,381,561.64

The variances noted were as a result of rounding off differences, timing differences for offshore investments, differences in Offshore investments which was held on a separate valuation by the Fund Manager and dividends reported by the Fund Manager but not yet received by the Custodian.

Finally, the Custodian confirmed the Fund assets were safe.

Trustees noted the report as presented.

6. (Min 06/26) Administrative Matters

6.1. Administration Report for 31 December 2025

Ms. S. Kavutha of Zamara presented the administration report for the quarter, and the following was noted:

- ❖ The active membership of the Fund increased from 1,038 members at the beginning of the quarter to 1,067 members in December 2025
- ❖ Member balances increased from Ksh 2,816,936,725. in September 2025 to KSh 2,916,965,845 in December 2025.

On the overall membership, trustees observed that the quarter closed with a total of 1879 members made up of 1067 active members, and 812 deferred members.

The monthly contributions reported for the quarter from the various Sponsors were as summarized below:

Month	Amount per Schedules (K Shs)	Amount Banked (K Shs)	Variance (K Shs)	Date Banked
Oct 2025	18,991,043.08	19,255,031.00	263,987.92	Various
Nov 2025	19,038,730.97	19,144,867.15	106,136.18	
Dec 2025	20,188,836.27	20,226,527.25	37,690.98	
Total	58,216,945.31	58,626,425.4	407,815.08	

The Trustees noted the breakdown of monthly contributions for each Sponsor.

The Board further noted that during the quarter, a total of seventeen (17) claims were processed during the quarter totaling Ksh. 9,710,486.85. These were noted to have been finalized during the quarter.

The Administrator confirmed that in line with the Retirement Benefits (Occupational Retirement Benefits) Regulations, 2000 Rule 15(1) the Quarterly Returns of Contributions (QRCs) for the quarter ended 30 September 2025 were submitted to the Retirement Benefits Authority on 15 January 2026.

With a significant number of members moving towards retirement, the trustees noted the need for a deliberate member education session. The Administrator was asked to circulate a proposed schedule of member education sessions for the year for review and consideration by the trustees.

The administrator further confirmed that the Net Replacement Ration Statements (NRR) had been prepared and the results were ready for presentation to the Board.

A session on Post Retirement Medical Fund was also noted to be convened for the trustees and later cascaded to the members. It was agreed that the Liaison Officer would consult with trustees on their availability and revert to the administrator for the two sessions.

It was agreed that the administrator would circulate the listing of portal uptake to assess the need for training on statements access.

The Scheme Compliance Matrix was presented, and it was noted that the Trustee Indemnity Cover had been renewed for 01 January 2026. It was reported that all other compliance matters were in place apart from the sign off of the Good Governance Guidelines, which was in progress.

Action Note:

- ❖ Administrator to circulate a Schedule of Member Education Sessions.

- ❖ Administrator to circulate the list of members who have signed on the Zamara Online Portal
- ❖ Liaison Officer to revert on the dates for the presentation of the Net Replacement Ration Results and the Post Retirement Medical Fund.

The report was noted as presented.

6.2 Management Accounts for the period 31 December 2025

Mr. J Kariuki of Zamara presented the management accounts for the period ended 31 December 2025 and the Board noted the changes in net assets as follows:

- ❖ That the contributions for the quarter amounted to Ksh 58,216,944 and for the 12th-month period was noted as Ksh 216,854,886
- ❖ The benefits processed to exiting members during the quarter were noted as Ksh. (9,096,127) while for the 12-month period (January to December 2025), total pay-outs to exiting members was noted as 166,533,959.
- ❖ The realised investment income during the quarter was Ksh 59,716,130 a decrease from Ksh 64,682,504 the previous quarter. The total realised investment income for the year was noted as Ksh. 249,976,086.
- ❖ The net return on investments during the quarter was noted to have increased to Ksh 50,714,160, a decrease from the previous quarter at Ksh 127,071,804. The net return on investments for the year was reported as Ksh 406,484,325
- ❖ The increase in net assets for the quarter was Ksh 100,029,119 while the increase in the 12-month period was noted as an increase of Ksh 465,676,087.
- ❖ The net assets available for benefits at the end of the quarter(and effectively by the end of the financial year) was noted as Ksh 2,916,965,845

Trustees were taken through the notes supporting the management accounts and all the explanations were provided.

It was agreed that a meeting to review the draft audited financial statements would be convened towards the end of March 2026 when the Approved Issuers (Jubilee and Kenindia) have announced their rates of return for the financial year ended 31/12/2025

The report was noted as presented

7. (Min 07/26) Any Other Business and Date of Next Meeting

It was noted that the Asset Consulting Report had been presented to the trustees in an earlier session. The report would be updated with the 3-year and 5-year performance figures for the Deposit Administration funds from the two Approved Issuers and circulated to the trustees.

There being no other business, the meeting was adjourned at 13:30 pm. The date of the next meeting was noted as 04 May 2026 at 10:00am.

Confirmed as a true record of the proceedings of the meeting.

Chairperson:

Date:

Trust Secretary:

Date: